

Risk assets are under pressure Monday as U.S.-Iran tensions escalate and oil pushes above \$107/bbl. Back-to-back hot inflation prints (CPI 3.8%, PPI 6%) have pushed rate-hike odds to 45% for 2026. Kevin Warsh officially took the Fed chair role May 15. FOMC minutes drop Wednesday alongside Nvidia earnings.

SNAPSHOT

Market Levels at a Glance

ASSET	LEVEL	24H MOVE	SIGNAL
BTC	~\$77,000	-4.0%	BEARISH
ETH	~\$2,120	-3.1%	BEARISH
WTI Crude	>\$107/bbl	+9%+ WoW	WATCH
Gold	~\$4,550	-4% WoW	NEUTRAL
10Y UST	4.55%	Near 1Y high	WATCH
F&G; Index	28	Fear	BEARISH
Crypto MCap	\$2.56T	-3.8%	BEARISH

MACRO

Key Themes This Week

Iran / Oil / Geopolitics: Strait of Hormuz remains near-closed. WTI above \$107, up 9%+ week-over-week. Drone strikes targeted UAE energy infrastructure over the weekend. Trump posted Sunday night that Tehran's 'clock is ticking.' Iranian media says talks are deadlocked. U.S. + Israeli military action possible as early as this week. Oil is the primary inflation driver and the swing variable for all risk assets right now.

Inflation + Fed Transition: CPI 3.8% YoY (highest since Sept 2023). PPI 6% YoY. Rate cut probability: 0%. Rate hike probability this year: ~45% (was 1% a month ago). 10Y yield at 4.55%, near a one-year high. Kevin Warsh confirmed 54-45 (May 13) -- most partisan Fed chair vote in history. Powell stays on the board as governor. Warsh's first FOMC as chair: June 16-17. This week: Powell's final meeting minutes drop Wednesday.

Gold Pullback: Gold fell ~4% last week to ~\$4,550. Counterintuitive given the geopolitical backdrop, but explained by surging yields and a stronger dollar raising opportunity cost. WGC Q1 data showed record global demand -- bar/coin buying up 42% YoY, led by Asian investors. Long-term structural demand is intact; the short-term ceiling holds as long as real yields stay elevated.

CALENDAR

Week Ahead: May 18-22

DATE	EVENT
TODAY Mon 18	G7 Finance Ministers + Central Bank Governors meeting (thru Tue 19). YZY token unlock ~\$6.2M.
Tue 19	Google I/O Developer Conference opens (thru Wed 20). PYTH unlock: ~37% of supply, ~\$95.5M.
Wed 20	NVIDIA earnings after close (consensus: \$78B rev, +78% YoY; \$1.77 EPS). FOMC minutes released. Meta stablecoin Senate deadline (Sen. Warren). ZRO unlock ~\$33.4M. KAITO unlock ~\$7.9M.
Thu 21	Initial jobless claims. PMI data (manufacturing + services). Housing data.
Thu 22	Japan April CPI released. Key read for BoJ June rate hike expectations.

CRYPTO

Bitcoin + Ethereum

BTC (~\$77,000): Down 4%+ today on macro risk-off after Trump's Sunday Iran post. Third consecutive daily decline. \$661M+ liquidated in 24 hours -- 95% from longs. Total crypto market cap: \$2.56T (-3.8%). Fear and Greed: 28. Higher-timeframe structure intact. Support: ~\$73,700. Resistance: ~\$84,500. This looks like a macro-driven correction, not a structural breakdown.

ETH (~\$2,120): ETH/BTC on its fourth consecutive daily loss. Altcoin dominance near 39.2%, signaling continued risk tightening. ETH ETFs recorded \$255M outflows last week.

BTC ETF Flows: \$1B net outflow for the week ending May 15 -- largest in months, ends a 6-week inflow streak. May 13 alone: \$635M out, largest single day since late January. Cumulative net inflows since Jan 2024 still ~\$58.3B; AUM ~\$104B. Institutional caution, not capitulation.

WATCH LIST

Key Developing Situations

TOPIC	BIAS	DETAIL
HYPE / Hyperliquid	BULLISH	Trade.xyz launched a synthetic SpaceX pre-IPO perp (SPCX-USDC) on Hyperliquid today, sending HYPE +7% while BTC is -4%. Platform: \$8.4T cumulative volume. 21Shares HYPE ETF (ticker \$THYP) live with \$1.2M day-1 inflows; Bitwise + Grayscale products pending. Risk: CME/ICE raising regulatory concerns about synthetic pre-IPO instruments.
BNB ETF Pipeline	WATCH	VanEck and Grayscale both filed revised BNB ETF applications on the same day last week. Bloomberg ETF analyst Seyffart flagged potential near-term approval. Sets meaningful precedent for the broader altcoin ETF pipeline.
Strategic BTC Reserve	WATCH	White House advisor Witt said at Consensus Miami (May 6) a major SBR update is coming 'in the next few weeks.' No third-party verification the reserve is operational, but no seized BTC has been sold. A concrete positive announcement is the key near-term upside catalyst for BTC back toward six figures.
Aave + Bridge Risk	NEUTRAL	Aave restored ETH borrowing limits across 6 networks after April's \$292M exploit -- contagion risk easing. Separately, an \$11M cross-chain bridge hack reported this week. Bridge infrastructure remains one of DeFi's most persistent weak links.
Token Unlocks	BEARISH	PYTH: ~37% of circulating supply (~\$95.5M) unlocks Tuesday. ZRO: ~5% (~\$33.4M) Wednesday. KAITO: ~5% (~\$7.9M) Wednesday. Adds meaningful sell pressure to an already-weak altcoin market this week.

Tyler's Bottom Line: Iran is the variable that determines everything else. Oil stays elevated, inflation stays sticky, and the Fed stays boxed in. Warsh inherited a mess -- his first real test comes Wednesday with FOMC minutes and Nvidia earnings. For crypto: BTC is in a macro-driven correction, not a structural breakdown. Watch \$73-74K as the key support band. ETF outflows signal institutional caution, not capitulation. HYPE is the standout this week -- real products, real volume, real narrative. The SBR update is the near-term wildcard upside catalyst.